LEAD NOW FOUNDATION

Building Leaders. Transforming Communities.

Finance Policy and Procedures

2026 Edition · Version 1.0

Every rupee we hold was entrusted to us for young people. This manual sets out how we receive, spend, record and account for it — openly, carefully and well.

Lead Now Foundation (registered as LeadNow Foundation)
A not-for-profit company under Section 8 of the Companies Act, 2013 · CIN U85100DL2018NPL339705
H No. 195-F, Ground Floor, Hari Nagar Ashram, New Delhi-110014 · info@leadnowfoundation.org

Document control

Item	Detail
Document	Lead Now Foundation Finance Policy and Procedures Manual
Version	1.0 (2026 Edition)
Adapted from	Student Partnership Worldwide India Project Trust (SPWIPT) Finance Policies and Procedures Manual, 2021 (V2)
Owner	Chief Executive Officer (CEO)
Day-to-day custodian	Finance & Admin Officer
Approved by	Board of Directors, Lead Now Foundation
Date of approval	_____
Next review	Annually, before the start of each financial year (1 April)

Key numbers at a glance

Rule	Threshold
Financial year	1 April to 31 March
Petty cash: maximum per payment	₹5,000
Procurement process (three quotes) required	Above ₹15,000
Fixed asset: record on the register	₹8,000 or more
Cash payment to any one person in one day	Never ₹10,000 or more
Cash received from any one person	Never ₹2,00,000 or more (legal limit); policy: no cash donations above ₹2,000
Spending approval	Program Lead up to ₹50,000 · CEO up to ₹5 lakh · CEO + Board Chair up to ₹25 lakh · Board above ₹25 lakh
Bank and cash reconciliations	Within the first five working days of each month
Foreign contribution	Not accepted — Lead Now Foundation is not registered under FCRA

Contents

1. Introduction 6
1.1 Purpose 6
1.2 Our legal and regulatory context 6
1.3 Reviewing and changing this manual 7
1.4 Responsibilities of all staff 7
1.5 How to use this manual 8
2. Financial Governance and Authority 10
2.1 Who is responsible for what 10
2.2 Segregation of duties 11
2.3 Authorisation limits 11
2.4 Conflicts of interest and related parties 12
3. Accounting Principles 13
3.1 Our chart of accounts 13
3.2 Basis of accounting 13
4. Income 14
4.1 Restricted income: grants, CSR and contracts 14
4.2 CSR funds 15
4.3 Unrestricted income and donations 15
4.4 Due diligence on funders 15
4.5 Deferred income 15
4.6 Accrued income 16
4.7 Foreign contribution 16
5. Expenditure 17
5.1 Overview of the expenditure process 17
5.2 Purchase Orders 17
5.3 Making payments 18
5.4 Cash floats 19
5.5 Employee expenses 20
5.6 Petty cash 20
5.7 Write-offs 20
5.8 Accruals and prepayments 21
6. Procurement 22
6.1 Procurement Committee 22
6.2 Annual supplier review 23
6.3 The procurement process 23
6.4 Consultants and professional services 23
6.5 Travel 24
6.6 Recruitment agencies 24
6.7 Ethical procurement 24
7. Grants to Partners 25
7.1 Before the grant 25
7.2 During and after the grant 25
8. Fixed Assets 26
8.1 What is a fixed asset? 26
8.2 The fixed asset register 26
8.3 Acquiring assets 26
8.4 Disposing of assets 26
8.5 Annual review and asset count 27
8.6 Accounting for fixed assets 27
9. Bank and Cash Management 28
9.1 Bank accounts 28
9.2 Cash balances and the safe 28

9.3 Cheque books 28
9.4 Recording bank and cash transactions 29
10. Monthly Financial Processes 30
10.1 Payroll and statutory deductions 30
10.2 Cash reconciliation 30
10.3 Bank reconciliation 31
10.4 Management accounts 31
10.5 Cash flow forecast 31
10.6 Journal entries 31
10.7 Monthly reporting timetable 31
11. Budgeting and Forecasting 32
12. Programme Sites and Field Offices 33
13. Use of Vehicles 33
14. Year End and Annual Compliance 34
14.1 Before 31 March 34
14.2 After 31 March 34
14.3 Annual compliance calendar 34
15. Audits 36
15.1 Statutory audit 36
15.2 Preparing for and managing the audit 36
15.3 Audit evidence checklist 36
16. Storage of Financial Records 37

1. Introduction

1.1 Purpose

This manual sets out Lead Now Foundation's Finance Policy and Procedures. **Every member of staff — not only the finance team — must understand and follow it.** Failure to do so can expose the organisation to financial loss, legal and tax penalties, and loss of donor trust, and may lead to disciplinary action.

The Finance Policy exists to:

- Achieve effective financial management and value for money.
- Make sure Lead Now Foundation manages and accounts for every rupee it receives and spends responsibly and transparently, in pursuit of its mission.
- Keep the organisation compliant with Indian law and with the conditions of every grant and donation.
- Reduce the risk of fraud, bribery and error, and protect the people who handle our money.

The procedures explain how to meet the policy using our systems, including Financial Force, our accounting system. Finance templates make sure our documentation is consistent.

1.2 Our legal and regulatory context

Lead Now Foundation is a not-for-profit company registered under **Section 8 of the Companies Act, 2013**. Its income and property may be used only to promote its objects, and no profit or dividend may be paid to its members. Our finances are shaped by the following:

Area	What it means for us
Companies Act, 2013	Books of account kept on an accrual basis; financial year from 1 April to 31 March; annual statutory audit by a Chartered Accountant; annual filings with the Registrar of Companies; Board approval of financial statements; disclosure and approval of related-party transactions.
Income-tax Act, 2025	From 1 April 2026, this Act replaced the Income-tax Act, 1961. Our existing registrations (formerly under Sections 12A and 80G) continue as registered non-profit status and donor tax-deduction approval until they expire. We must apply our income to our objects, maintain audited accounts, file annual returns, report donations and issue donor certificates, and deduct and deposit tax (TDS) where required.
Foreign Contribution (Regulation) Act, 2010 (FCRA)	Lead Now Foundation is **not registered under FCRA** and must not receive any foreign contribution, directly or indirectly (see Section 4.7).

Area	What it means for us
CSR rules (Companies Act, Section 135)	Companies can fund us from their CSR budgets only once we are registered as a CSR implementing agency (Form CSR-1). CSR funds must be tracked separately and used only for the approved project.
Labour Codes and tax law	Payroll must comply with the Labour Codes and with tax deduction rules (see Section 10.1).

Note: Laws, section numbers, forms and deadlines change. The Finance & Admin Officer will confirm the current requirements with our Chartered Accountant each year, and this manual will be updated where needed.

1.3 Reviewing and changing this manual

The CEO will review this manual each year, before 1 April, to make sure that:

- Procedures and templates suit our activities and risks.
- Financial thresholds are appropriate — neither too high nor too low.
- We remain compliant with the law and with our grant and donor agreements.

Changes to policy or thresholds must be approved by the Board of Directors. Additional procedures required by a specific donor may be approved by the CEO, as long as they are consistent with this policy.

Where an exception is needed (including in an emergency), staff must first consult the CEO. Any exemption from policy must be approved in writing by the CEO and, for amounts above ₹5,00,000, by the Chair of the Board. Any misuse of this policy, or any unauthorised exemption, will result in disciplinary action.

1.4 Responsibilities of all staff

Living our values with money

Value	What it means for how we handle money
Youth Agency	Show that young people and youth-led organisations can be trusted with resources — by managing ours with integrity. Where we resource young leaders, we do it with clear, fair and respectful systems.
Equity	Direct resources to where they are needed most. Apply the same rules to everyone, whatever their role.
Collaboration	Work with the finance team, share information early, and raise risks and problems openly so we can solve them together.

Value	What it means for how we handle money
Dignity	Handle the money given by donors and communities with care and honesty. Never cut corners that could damage the trust people place in us.
Systems Thinking	Spend in ways that build lasting change, not quick fixes. Understand how today's decisions affect our long-term sustainability.

Finance is not only the finance team's job. You are the front line in managing our resources and the risks we face. In particular, everyone should:

- **Help us comply with the law and with donor requirements** — understand what applies to your work, keep proper records and supporting documents, and prepare reports on time.
- **Help us use resources well** — understand this policy before planning and budgeting, follow our controls, and work with the finance team to identify and resolve risks, including fraud and bribery.
- **Support good partnerships** — when we fund partners, make sure the money is used appropriately and effectively (see Section 7).

1.5 How to use this manual

Policy appears in shaded boxes marked "Policy". It sets out what we must or must not do. **Procedures** follow each policy box and explain how to comply. Procedures may change as our systems change, but the policy always takes precedence. If in doubt, follow the policy and ask the Finance & Admin Officer or the CEO.

#	Section	Required reading for
1	Introduction	All staff
2	Financial governance and authority	All staff
3	Accounting principles	Finance team, CEO, fundraising staff
4	Income	Finance team, CEO, fundraising staff
5	Expenditure	All staff
6	Procurement	All staff
7	Grants to partners	Program Lead, CEO, finance team
8	Fixed assets	All staff
9	Bank and cash management	Finance team, CEO
10–11	Monthly and quarterly processes	Finance team, CEO, Program Lead

#	Section	Required reading for
12–13	Programme sites and vehicles	Programme staff
14–16	Year end, audits and records	Finance team, CEO

Finance induction for every new staff member covers the sections required for their role.

2. Financial Governance and Authority

2.1 Who is responsible for what

Role	Financial responsibilities
Board of Directors	Overall stewardship of the organisation's finances. Approves this manual, the annual budget, the financial statements, bank signatories, the appointment of the statutory auditor (subject to the members' approval) and any spending above ₹25,00,000. Reviews financial performance at least quarterly.
Chair of the Board	Co-approves spending above ₹5,00,000. Approves the CEO's own expenses, payroll changes and any transaction in which the CEO has an interest. Receives concerns about financial wrongdoing that involve the CEO.
Chief Executive Officer (CEO)	Accountable for financial management and compliance. Approves spending within their limit, payroll and payments. Reviews reconciliations and management accounts, and reports to the Board.
Program Lead	Budget holder for programmes. Approves programme spending within their limit, monitors budgets against plans, and leads on partner grant monitoring.
Finance & Admin Officer	Maintains the books in Financial Force; checks every payment request against this policy; prepares payments, payroll, reconciliations, management accounts and statutory filings; maintains the fixed asset register; liaises with the Chartered Accountant and auditors. Has no authority to approve spending.
Budget holders	Staff given responsibility for a budget line. Confirm that spending is appropriate, within budget and properly evidenced.
External Chartered Accountant	Advises on tax, TDS, statutory compliance and accounting treatment. Independent from the statutory auditor.
Statutory auditor	Independently audits the annual financial statements (see Section 15).

2.2 Segregation of duties

Policy

No single person may control a transaction from start to finish. The person who requests a purchase cannot approve it; the person who approves a payment cannot record it; and the person who handles cash or makes payments cannot reconcile the accounts.

No one may approve a payment or expense from which they personally benefit. The CEO's own expenses and claims are approved by the Chair of the Board.

As a small organisation, we apply this principle as follows:

Step	Done by	Checked or approved by
Request a purchase	Any staff member	Budget holder (or their line manager if the budget holder is requesting)
Check documents and policy compliance	Finance & Admin Officer	—
Approve spending	Within authorisation limits (Section 2.3)	Second approver above ₹5,00,000
Set up the online payment ("maker")	Finance & Admin Officer	CEO releases the payment ("checker")
Record in Financial Force	Finance & Admin Officer	CEO reviews monthly
Bank and cash reconciliation	Finance & Admin Officer	CEO reviews and signs; Board Chair reviews quarterly

2.3 Authorisation limits

Policy

Spending must always be authorised **before** it is incurred, by someone with sufficient authority. The value of a commitment — the total value of a contract, not each instalment — decides who must approve it. Splitting a purchase to stay within a limit is a breach of this policy.

Who	May approve commitments up to
Programme staff (where named as budget holders)	₹10,000
Program Lead	₹50,000
CEO	₹5,00,000

Who	May approve commitments up to
CEO **and** Chair of the Board	₹25,00,000
Board of Directors (by resolution)	Above ₹25,00,000, and any spending outside the approved annual budget

- The Finance & Admin Officer has no spending authority. Where finance or administration costs are involved, the CEO approves as budget holder.
- Approvals are given in order: the more junior approver signs first, before the request goes to a more senior approver.
- Every approver takes personal responsibility for checking that the documentation is complete and correct. Do not rely on the next approver to catch problems.
- Contracts and grant agreements with donors are signed by the CEO, or by a director authorised by the Board.

2.4 Conflicts of interest and related parties

Policy

Anyone involved in a financial decision must declare any personal, family or financial interest in it and take no part in that decision. Transactions with directors, their relatives or entities in which they have an interest must be disclosed to the Board and approved in line with the Companies Act, 2013.

All directors and staff complete an annual declaration of interests, held by the Finance & Admin Officer. Fraud, bribery and whistleblowing are covered in Sections 9 and 10 of the Human Resource Manual.

3. Accounting Principles

3.1 Our chart of accounts

We record every financial transaction so that we can manage our finances well and report accurately to the Board, donors, regulators and the public. Every entry in Financial Force is coded with four dimensions:

1. **Unit** — the part of the organisation the funds belong to
2. **Cost code** — the budget line
3. **Project** — the donor or funding source
4. **Location** — the office or programme site where the money is spent

This information is required for every item of expenditure.

3.2 Basis of accounting

- **Accruals basis.** We record income and expenditure when they are earned or incurred, not when cash moves, as required by the Companies Act, 2013. Our financial statements follow the Accounting Standards notified under the Act and the guidance of the Institute of Chartered Accountants of India for not-for-profit organisations.
- **Financial year.** 1 April to 31 March.
- **Fund accounting.** We track restricted funds (given for a specific purpose, including CSR funds) separately from unrestricted funds, so that we can show each funder exactly how their money was used.
- **Donor bases.** If a donor requires reports on a different basis, these are prepared outside Financial Force and reconciled to it.
- **Inventories** (for example, programme materials held in stock) are stated at the lower of cost and net realisable value.

4. Income

Income is any increase in our resources — usually grants and donations, but also fees, sales and other contractual income. We recognise income when we are entitled to it and can measure it reliably.

Policy

Every source of income must be identified as **restricted** or **unrestricted** before it is accepted, so that the correct procedures and accounting treatment apply. Programme and fundraising staff work with the Finance & Admin Officer to do this. **No income may be accepted from a foreign source** (Section 4.7).

4.1 Restricted income: grants, CSR and contracts

Restricted funds are given for a specific purpose under conditions set out in a grant agreement, CSR agreement or contract. If we do not meet the conditions, we may have to repay the funds. Many funders audit how their money was spent. We must therefore be prudent in recognising and spending restricted income, and our systems must track it precisely.

We normally recognise restricted income as we spend it, provided we have met the conditions and can show that the spending matched the funder's purpose. Funds received before we are entitled to them are deferred (Section 4.5); funds we are entitled to but have not yet received are accrued (Section 4.6).

Before any proposal or budget is submitted, and before any agreement is signed, the CEO must be satisfied that we can deliver on its terms, including its financial and reporting requirements.

Procedure

Each grant has a named **grant lead** (normally the Program Lead), who:

- Tells the Finance & Admin Officer when the agreement is signed, so the project can be set up in Financial Force.
- Shares the payment schedule and follows up on payments due.
- Manages spending in line with this policy and any additional funder requirements.
- Reports progress against budget to the CEO monthly, highlighting overspends, underspends or other issues.
- Makes sure accurate narrative and financial reports reach the funder on time.

The Finance & Admin Officer reviews each restricted fund monthly to release deferred income where we have become entitled to it, and reviews income, deferred and accrued balances quarterly for reforecasts.

4.2 CSR funds

Policy

CSR funds may be accepted only after Lead Now Foundation has been registered as a CSR implementing agency (Form CSR-1). CSR funds must be used only for the project approved by the funding company, tracked as a separate restricted fund, and supported by a utilisation certificate and any other reports the funder requires.

4.3 Unrestricted income and donations

Unrestricted income has no conditions on how it is spent. It may come as donations, gifts or general grants, in money or in kind.

Policy

Every donation is receipted. For donations eligible for tax deduction, we record the donor's name, address and PAN, issue the donor certificate required by income-tax law, and include the donation in our annual statement of donations.

We do not accept cash donations above ₹2,000; larger gifts must be made by bank transfer, UPI or cheque. We never accept ₹2,00,000 or more in cash from any one person, which is prohibited by law.

We do not knowingly accept anonymous donations. If one is received, the Finance & Admin Officer informs the CEO and our Chartered Accountant before it is recorded.

Donations given expressly for our corpus (permanent fund) are recorded separately as corpus funds.

Procedure

- Fundraising staff tell the Finance & Admin Officer about donations they are aware of; the Finance & Admin Officer also identifies donations from bank statements.
- Larger donations (₹1,00,000 or more) are recorded individually with a receipt. Small donations may be recorded weekly or monthly in a single summary entry, supported by a donation register, prepared by the Finance & Admin Officer and approved by the CEO.
- Donations in kind (for example, laptops) are recorded at fair value. Fixed assets received this way are added to the fixed asset register (Section 8).

4.4 Due diligence on funders

Before accepting significant funding, the CEO checks that the funder's values and reputation are consistent with ours, and that accepting the funds would not compromise our independence, our safeguarding commitments or the trust of the young people and communities we work with.

4.5 Deferred income

Deferred income is money we have received but are not yet entitled to use, because we have not yet met the conditions of the grant. It is a liability in our accounts. We defer income when:

- The related activities have not yet taken place.
- The funds are for future activities.
- The funder's conditions have not yet been met, even if the activities are complete.

At the end of each grant, each quarter and at year end, deferred balances are reviewed. Unspent funds are returned to the funder if the agreement requires it.

4.6 Accrued income

Accrued income is income we have earned but not yet received. It should be uncommon, because we do not normally spend before funds are received (pre-financing). Pre-financing a funder's activities requires the CEO's prior approval. Accrued income is recorded as a receivable.

4.7 Foreign contribution

> **Policy**
>
> Lead Now Foundation is **not registered under the Foreign Contribution (Regulation) Act, 2010** and must not accept any foreign contribution — whether from a foreign donor, a foreign organisation, a foreign national, or an Indian organisation passing on foreign contribution.

If you are offered funding from any source outside India, or from an Indian organisation that receives foreign funding, refer it to the CEO before any discussion of terms. If foreign contribution is ever received by mistake, inform the CEO immediately; it must not be spent, and our Chartered Accountant will advise on returning it. If Lead Now Foundation registers under FCRA in future, this section will be replaced with the FCRA procedures.

5. Expenditure

Policy

All spending must be authorised **before** it is incurred, and we must keep evidence that it was appropriate, authorised and consistent with our objects and our funders' conditions.

Always use the payment method that best reduces risk and achieves value for money. **Bank transfer and UPI are preferred; cash is the last resort.**

5.1 Overview of the expenditure process

1. **Check** whether the procurement process is required (above ₹15,000, Section 6).
2. **Prepare** a Purchase Order (PO) documenting the purchase and its justification.
3. **Approve** the PO, within authorisation limits.
4. **Incur** the expense and obtain the invoice.
5. **Pay**, record and file.

Exceptions: staff and volunteer allowances for food use the Allowance Register rather than a PO (Section 5.4), although accommodation always requires a supplier review or the procurement process. Small office expenses up to ₹5,000 may be paid from petty cash (Section 5.6).

5.2 Purchase Orders

A Purchase Order captures the information needed to approve and record the purchase. It must include:

- The budget line and project code.
- Why this product or service and this supplier were chosen (evidence of value for money).
- Evidence from the procurement process (quotes and the committee's decision), or confirmation that the supplier is an Approved Supplier.
- The payment schedule, if the purchase will be paid in instalments. Later instalments may rely on the original PO if it clearly set out their amounts and timing.

What each approver confirms

Approver	By signing, I confirm that…
Budget holder	The spending is appropriate, within budget, and will be used only to pursue Lead Now Foundation's objects.
Finance & Admin Officer	All supporting documentation is correct and all relevant policies have been followed. (Verification only; not an approval to spend.)

Approver	By signing, I confirm that…
Additional approvers (per Section 2.3)	Based on the information provided, the spending is appropriate. I have seen enough to make this decision.

5.3 Making payments

Policy

The person who requests a payment cannot approve it. Every payment requires a "maker" and a "checker". The Finance & Admin Officer selects the safest and most efficient payment method.

- Once the PO is approved, the expense can be incurred and the invoice requested.
- The Finance & Admin Officer checks that the invoice matches the PO, that the supplier is set up in Financial Force, and records it as a purchase invoice.
- Tax is deducted at source (TDS) wherever the law requires it — for example, on payments to contractors, consultants and professionals, and on rent — and deposited on time (Section 10.1).
- The supplier's bank details are verified when they are first set up, and any change to them is confirmed by phone with a known contact before payment. Requests to change bank details by email alone are a common fraud.

Payment methods

Method	Rules
Online bank transfer / UPI (preferred)	Set up by the Finance & Admin Officer, released by the CEO (and a second approver above ₹5,00,000). Attach the payment confirmation to the PO.
Cheque	Signed by two authorised signatories under the bank mandate. Complete the cheque stub and attach a copy of the cheque to the PO.
Organisational debit or credit card	Used only by the named cardholder, within limits set by the CEO, with receipts provided within five working days.
Personal card or cash, reclaimed later	Follow the employee expenses procedure (Section 5.5).
Cash	Only where no other method is practical, through petty cash (Section 5.6) or a float (Section 5.4). No cash payment of ₹10,000 or more to any one person in one day — the law disallows such expenses.

Invoices are marked "PAID" with the date and reference when paid, to prevent duplicate payment. The invoice, PO and proof of payment are filed together and referenced in Financial Force.

5.4 Cash floats

Floats may be used to pay allowances, or for activities in places where bank or digital payments are not possible. Floats can be issued in cash or by bank transfer to the staff member. Cash carries higher risk: it is harder to track and easier to lose or steal. Stronger controls therefore apply.

Policy

Floats are allowed only when another payment method is not practical. Wherever possible, pay suppliers and participants directly by bank transfer or UPI.

The Finance & Admin Officer may refuse a float if another method can be used. Programme managers must plan cash needs with the finance team before activities begin.

Once signed for, a float is the sole responsibility of the person who received it.

Volunteers may receive funds for their own food and travel allowances, but never funds for programme activities.

Requesting a float

- Use the Float Request form (not a PO), stating why cash is needed and the **return date**.
- A float should not exceed the recipient's monthly salary. A larger float needs the CEO's approval, and no float may exceed three months' salary.
- Floats are issued only to the named staff member, who takes full responsibility for the funds. Only one float may be held at a time.
- Floats cannot be used to pay for accommodation.
- The Finance & Admin Officer keeps a register of all outstanding floats.

Spending from a float

For **allowances**, see the Human Resource Manual for entitlements. The float holder confirms the allowances match the activity budget; every recipient signs the Allowance Register and gives a phone number so that the finance team can carry out spot checks; and the budget holder confirms the allowances reached the right people. Receipts are not required for food allowances unless a funder requires them, but there must be enough evidence (attendance sheets, activity reports, photographs with consent, travel records) for an auditor to verify the spending.

For **other spending**, consider value for money, collect evidence that funders can rely on, and ask whether future payments could be made directly instead.

Returning and accounting for a float

- The return date is the first working day back in the office, or one month after issue, whichever is sooner. Exceptions need the CEO's written approval before the float is issued.
- The float must be fully accounted for within five working days of the return date, using the Float Return form.

- Receipts are required for all spending except staff food and travel allowances. Unspent funds are returned.
- Lost receipts cannot be accepted. If a receipt is missing, a second staff member who witnessed the spending may certify it in a signed note; the Finance & Admin Officer decides case by case whether this is sufficient. If it is not, the amount is recovered from the staff member.
- The CEO reviews overdue floats monthly and may recover overdue amounts from salary, with the staff member's written consent, or take disciplinary action.

What a valid receipt shows

- The date
- The supplier's name (and GST number, where applicable)
- A description of each item purchased
- The supplier's stamp or official stationery, where possible
- Any alterations, signed and explained

5.5 Employee expenses

Staff who spend their own money on behalf of Lead Now Foundation may claim it back. Agree the spending with the budget holder beforehand, so you know what will be reimbursed. Only valid expenses are reimbursed; the staff member bears the risk of spending on items the budget holder considers invalid.

- Complete an expense claim form showing the date, budget code and purpose, with receipts attached (receipts are always required).
- The claim is approved by the line manager and budget holder. The CEO's claims are approved by the Chair of the Board.
- Submit claims within five working days of returning to the office. Reimbursements are paid by bank transfer.

5.6 Petty cash

- Petty cash is for small office expenses, such as stationery. The petty cash float is set by the CEO and should not exceed ₹20,000.
- No single payment from petty cash may exceed ₹5,000.
- A petty cash voucher, approved by the budget holder, is completed for each payment. No PO is needed.
- Receipts must reach the Finance & Admin Officer within 24 hours.
- Petty cash is topped up from the bank, recorded in Financial Force, and counted and reconciled at least monthly (Section 10.2).

5.7 Write-offs

No amount may be written off (for example, an unrecoverable float or debt) without approval: up to ₹25,000 by the CEO, and above that by the Board. Write-offs involving the CEO are approved by the Board.

5.8 Accruals and prepayments

- **Accruals** record expenses that relate to the current period but will be paid later — for example, the statutory audit fee. We accrue only for highly predictable costs, and never on the basis of budgets alone.
- **Prepayments** record expenses paid in advance for a future period — for example, travel booked and invoiced for next month.

6. Procurement

Policy

Our procurement policy applies to every purchase above ₹15,000, whether one-off or recurring, and exists to achieve value for money, fairness and transparency.

Each year we review suppliers and select **Approved Suppliers**. Any other purchase above ₹15,000 must go through the **procurement process** before it is made — never retrospectively.

Every PO above ₹15,000 must include evidence that the procurement process was completed, or that the supplier is an Approved Supplier.

6.1 Procurement Committee

Procurement decisions are overseen by a Procurement Committee of at least three people. It makes sure the annual supplier review is completed, and reviews and signs off procurement decisions during the year.

- The committee may be standing (with at least one member rotating each year) or convened for each purchase. The CEO approves its membership. In a small team, it may include a Board member or a trusted external volunteer with relevant expertise.
- Members must be trained in this procedure, and must have received training within the last 12 months before signing off a decision.
- Members must declare any conflict of interest — for example, a relationship with a supplier that has quoted — and step aside.
- Where possible, the Finance & Admin Officer should not sit on the committee, so that they can independently process the related payments.
- Members may meet or sign off separately. If any member has a concern, a meeting must be held.
- For large purchases (above ₹5,00,000), or where there is a higher risk of fraud or bribery, additional measures are required — such as reputational checks, sealed bids or independent price checks — and documented.

What a committee member confirms

- The procurement process was followed and I have seen the original evidence, including all quotes.
- The option chosen offers the best value for money, considering price, quality, availability, timeliness, sustainability and ethics.
- The minutes explain the decision clearly enough for an auditor to understand and agree with it.
- Risks to staff safety, of fraud and bribery, and of overspending have been considered and reasonably mitigated.

6.2 Annual supplier review

Each year, the committee reviews regular and potential suppliers to select Approved Suppliers for the following 12 months. The review should take no more than six weeks, and the results are approved by the CEO and shared with the programme and finance teams.

1. Identify existing suppliers likely to supply more than ₹15,000 in the coming year, using a Financial Force report.
2. Identify the main goods and services needed next year (for example, venues, travel, printing, IT equipment).
3. Identify new types of goods or services and potential new suppliers, including local, women-led and youth-led enterprises where they offer good value.
4. Seek price information and quotations, allowing suppliers at least two weeks to respond.
5. Consider the key risks for each supplier, and whether anything could be done in-house or shared with partners to achieve better value.

An Approved Supplier must have stable, predictable pricing, and no ethical or financial concerns. The CEO may remove a supplier from the list, or require a fresh review, at any time. Approved Supplier purchases still require normal authorisation for each purchase.

6.3 The procurement process

The procurement process applies to purchases above ₹15,000 from suppliers who are not Approved Suppliers. It covers goods, services, consultancy, equipment and leases, including contracts paid in instalments whose total exceeds ₹15,000.

- Obtain **three written quotations** from credible, reputable suppliers for the same or comparable goods or services.
- Decide on value for money, not only on price — considering quality, availability, timeliness, sustainability and ethical factors.
- The committee reviews the quotes, chooses the supplier and records the reason. If the cheapest quote is chosen, that is all that needs to be noted.
- Attach all quotes, the committee's minutes and other relevant information to the Procurement Authorisation form, and then to the PO.

6.4 Consultants and professional services

Consultants and legal or professional services follow the procurement process, with two differences:

- Three quotes are not always required where expertise is highly specialised, but the committee must record why fewer were obtained.
- Where the exact cost cannot be known in advance (for example, a legal case), obtain an estimate based on a daily or hourly rate and an estimated number of days or hours. The total must not exceed the approver's authorisation limit.

Every consultant receives written terms of reference and a contract before work begins, and TDS is applied to their fees.

6.5 Travel

- Book the most economical option that is safe and practical, as far in advance as possible.
- For air travel, obtain three fare options and have the booking approved by the budget holder (and the CEO for the CEO's own travel, by the Board Chair).
- Consider the environmental impact of travel, and prefer rail or virtual meetings where reasonable.
- Regular travel agents may be treated as Approved Suppliers following the annual review.

6.6 Recruitment agencies

Before using a recruitment agency, the CEO must confirm there is budget and that an agency is necessary. Agency fees must not exceed 15% of the annual salary of the post, must be agreed in advance, and must be approved within authorisation limits.

6.7 Ethical procurement

We do not buy from suppliers who use child labour or forced labour, who discriminate, or who cause serious environmental harm, where we know or should reasonably know this. Suppliers who will have contact with children or young people in our programmes must agree to our Safeguarding Policy.

7. Grants to Partners

Resourcing young leaders and youth-led organisations is central to Lead Now Foundation's approach — so that their priorities, not ours, drive the agenda. Funds we pass on are still funds we are accountable for. We aim for grant-making that is trust-based and proportionate, but never careless.

Policy

No grant may be made to a partner without completed due diligence, a written grant agreement, and approval within authorisation limits.

Grants are paid by bank transfer to an account in the partner organisation's name — never in cash or to an individual's personal account (except where a grant to an individual young leader has been specifically approved by the CEO).

Our Chartered Accountant must advise, before the first grant to any new type of recipient, on how the grant counts towards the application of our income under tax law.

7.1 Before the grant

- **Due diligence** proportionate to the size and risk of the grant: legal registration and registration documents; bank account details; recent accounts or financial statements where available; governance and key people; safeguarding (using the Partner Safeguarding Checklist in our Safeguarding Policy); and any concerns about values, ethics or reputation.
- **Capacity:** can the partner manage the funds safely and responsibly, and do they understand what we will ask of them? Where capacity is limited, agree a support plan rather than excluding them — strengthening youth-led organisations is part of our work.
- **Grant agreement:** purpose, budget, payment schedule, reporting requirements, our right to review records, safeguarding obligations, and what happens to unspent funds.

7.2 During and after the grant

- Pay in instalments linked to progress and reporting, wherever possible.
- Obtain a financial report and utilisation statement for each instalment, supported by evidence proportionate to the grant's size.
- The Program Lead monitors progress, including visits where practical, and reports concerns to the CEO promptly.
- Unspent funds are returned or reallocated only as the grant agreement allows.

8. Fixed Assets

Policy

Our assets were bought to pursue our objects. Staff must not use them for personal benefit, and must take all reasonable steps to protect the assets in their care.

Every asset costing ₹8,000 or more is recorded on the fixed asset register and in the balance sheet.

Staff are responsible for the safety and condition of moveable assets (such as laptops and phones) issued to them.

The CEO reviews the fixed asset register at least once a year.

8.1 What is a fixed asset?

A fixed asset is an item bought for long-term use — such as computers, phones, furniture and vehicles — but not items used up in our work, such as T-shirts or stationery. We record fixed assets to make sure they are used appropriately, maintained and accounted for.

- A fixed asset register is kept for every office and programme site. The most senior staff member based there is accountable for its assets, although updating the register may be delegated to the Finance & Admin Officer.
- Every asset is labelled as belonging to Lead Now Foundation (unless it belongs to a funder).

8.2 The fixed asset register

The register, held in Financial Force, records for each asset: its name and description; unique asset number; location and condition; the person holding it (for laptops, phones and similar items); funding source; date acquired and cost; depreciation to date; net book value; and the date of disposal. Fully depreciated assets stay on the register while they are in use. Lower-value items may also be included at the CEO's discretion.

8.3 Acquiring assets

- Check that the asset went through the required procurement process, or was received as a gift in kind.
- Give every asset a unique code, marked permanently on it, in the format **LNF/DL/HO/LP/01** — organisation / city (DL = Delhi) / office (HO = Head Office) / category (LP = laptop) / number.
- Donated assets are recorded as income at fair value (the price we would otherwise have paid).

8.4 Disposing of assets

Assets no longer useful to us are identified for disposal, and the CEO decides the method.

- Old assets with no market value may be written off, with approval under Section 5.7.

- Theft or loss must be reported immediately to the line manager and the Finance & Admin Officer, and to the police where appropriate. Losses should be recovered through insurance; any uninsured loss is reviewed by the CEO.
- Sales should achieve value for money, and may need a valuation, an estimate of disposal costs and a plan for how and to whom to sell. Final terms are approved by the CEO.
- Assets should not be sold to staff, directors or their relatives. Any actual or perceived conflict of interest must be avoided.
- Assets bought with restricted funds may only be disposed of as the funder allows. Funder-owned assets cannot be disposed of by us.
- Make sure all liabilities, such as insurance or vehicle registration, are transferred on disposal.

8.5 Annual review and asset count

At least once a year, the CEO reviews the register to make sure that:

- A physical asset count has taken place at every location with assets.
- Assets are adequately insured, and legally required insurance (for example, vehicle insurance) is in place.
- Our assets are being used effectively, and any we no longer need are disposed of.
- Disposals during the year achieved value for money and transferred all liabilities.

How to carry out the asset count

- Check the register agrees to Financial Force before starting.
- Two staff members carry out the count together. Neither should normally maintain the register.
- Count both ways: verify every asset on the register exists and is where it should be; and check every asset in the office is on the register. One counter works “blind”, without the register, so they record what they see rather than what they expect.
- Label any unlabelled assets. Explain and resolve all differences, and give evidence of the count to the CEO.

8.6 Accounting for fixed assets

- **Additions:** record through a purchase invoice coded to fixed assets, and update the register.
- **Disposals:** recognise any profit or loss (sale price less net book value) as unrestricted income or expenditure.
- **Depreciation:** assets are carried at cost less accumulated depreciation, on a straight-line basis over their useful lives, consistent with Schedule II of the Companies Act, 2013. Our standard useful lives are: computers and laptops, 3 years; office equipment and phones, 5 years; furniture and fittings, 10 years; motor vehicles, 8 years. Depreciation is calculated and posted every six months (September and March).
- **Reconciliation:** the register must agree to the net book value in the balance sheet. The Finance & Admin Officer reconciles them every six months, after the asset count, and the CEO signs off.

- **Assets funded by restricted grants:** where a funder pays for the full cost of an asset up front, the related income is held in a deferred capital fund and released to match depreciation over the asset's life. The tax treatment of capital spending is confirmed with our Chartered Accountant.

9. Bank and Cash Management

> **Policy**
>
> Bank accounts may only be opened or closed by resolution of the Board of Directors, which also approves the authorised signatories and their limits.
>
> Every payment requires two authorisations. The most senior authoriser approves last.
>
> Cash is kept to the minimum needed, and held as centrally as possible.

9.1 Bank accounts

- Keep the number of bank accounts to a minimum. The CEO reviews them annually for security, service and value for money.
- Where a funder requires a separate bank account (for example, for a CSR project), it is opened with Board approval and used only for that project.
- **Signatories:** at least two of the CEO, the Chair of the Board and another director nominated by the Board. The Finance & Admin Officer may be set up as the "maker" in online banking, but not as an approver.
- Online banking credentials are personal and must never be shared. Two-factor authentication is enabled for every user.
- When an authorised signatory leaves or changes role, the bank is notified and their access removed immediately.

9.2 Cash balances and the safe

- The CEO sets maximum cash balances for each location, sufficient for petty cash and emergencies but within our insurance cover and never exposing staff to risk.
- Cash is kept in a locked safe. Each safe has a cash ledger in which every deposit and withdrawal is recorded and signed, and a matching cash account in Financial Force.
- Cash withdrawn from the bank is recorded in both the bank and cash accounts in Financial Force and in the safe's cash ledger.

9.3 Cheque books

Cheque books are kept in the safe. Cheque stubs are completed for every cheque and retained. Signed blank cheques are never permitted. Cancelled cheques are marked "CANCELLED" and kept.

9.4 Recording bank and cash transactions

All bank and cash transactions are recorded in Financial Force promptly, against the correct account. Journals must never be used to record bank or cash entries.

10. Monthly Financial Processes

10.1 Payroll and statutory deductions

Policy

Every staff member is paid the salary stated in their contract, in line with the salary scale approved by the Board. Payroll is prepared by the Finance & Admin Officer and approved by the CEO before payment. Changes to the CEO's pay are approved by the Board.

- Payroll is run monthly and paid by bank transfer.
- The payroll for approval shows, for every employee: gross salary, allowances, tax deducted, statutory contributions, any other deductions, and net pay.
- Adjustments (for example, recovery of advances or overdue floats, with written consent) are calculated by the Finance & Admin Officer and approved by the CEO.
- Tax deducted at source on salaries, and on payments to contractors, consultants and landlords, is deposited by the 7th of the following month (30 April for March), and quarterly TDS statements are filed on time.
- Provident Fund, Employees' State Insurance and other contributions are registered for and paid once Lead Now Foundation reaches the applicable thresholds under the Labour Codes. The Finance & Admin Officer monitors headcount against these thresholds.
- Each staff member receives a payslip every month, and an annual certificate of tax deducted.
- Signed contracts, appointment letters and salary change letters are kept securely and checked against the payroll every month.

Every employee is responsible for their own tax affairs. Lead Now Foundation supports this by calculating payroll accurately, deducting and depositing tax correctly, and providing payslips and tax certificates on time.

10.2 Cash reconciliation

Policy

At each month end, the physical cash at every location is counted and reconciled to the cash ledger and to Financial Force, within the first five working days of the following month. The count is carried out or witnessed by someone other than the person who handles the cash, and the reconciliation is reviewed and signed by the CEO.

The opening balance must equal the previous month's closing balance, and the cash count, the cash ledger and Financial Force must all agree. Any difference is investigated and explained to the CEO.

10.3 Bank reconciliation

> **Policy**
>
> Every bank account is reconciled monthly, within the first five working days of the following month. The reconciliation is reviewed and signed by the CEO. The Board Chair reviews the reconciliations quarterly.

Bank reconciliation is one of our most important protections against fraud and error — by the bank, by staff, or by suppliers. Compare every transaction on the bank statement with Financial Force. Differences may be timing (for example, a cheque not yet presented), unrecorded bank charges or receipts, or errors. Record unrecorded items, investigate anything unexplained, and follow up any item that was also outstanding last month.

10.4 Management accounts

The Finance & Admin Officer prepares management accounts by the 12th of each month. They show, as a minimum, income and expenditure against budget for every fund and project, overspends and underspends, the cash position, and key risks. The CEO reviews them with the Program Lead and adds comments. Management accounts are shared with the Board Chair monthly and presented to the Board quarterly.

10.5 Cash flow forecast

By the 25th of each month, the Finance & Admin Officer updates a 12-month cash flow forecast, based on current budgets and expected income, confirmed with the Program Lead. It shows whether we will have enough cash to meet our commitments, and is reviewed by the CEO. Any expected shortfall is reported to the Board Chair immediately.

10.6 Journal entries

> **Policy**
>
> Journals are kept to a minimum. They are prepared by the Finance & Admin Officer, supported by documents explaining the amount and reason, and approved by the CEO.

Journals may be used only to allocate costs between funds or projects, to correct errors, and for period-end adjustments (accruals, prepayments, depreciation). They must never be used to record income, purchases, or bank and cash transactions. Approved journals are printed from Financial Force, signed and filed.

10.7 Monthly reporting timetable

From	To	Report	Due
Programme sites	Finance & Admin Officer	Cash book, receipts and float returns	5th

From	To	Report	Due
Finance & Admin Officer	CEO	Bank and cash reconciliations	5th working day
Finance & Admin Officer	Income Tax Department	TDS deposit	7th
Finance & Admin Officer	CEO, Program Lead	Management accounts	12th
CEO	Board Chair	Management accounts with comments	15th
Finance & Admin Officer	CEO	12-month cash flow forecast	25th

11. Budgeting and Forecasting

Policy

The annual budget is approved by the Board before the start of each financial year. No spending may be committed outside the approved budget without Board approval.

What	When
Draft annual budget (with a second-year projection) to the Board	By 15 March
Quarter 1 reforecast (April–June)	By 15 July
Quarter 2 reforecast (July–September)	By 15 October
Quarter 3 reforecast (October–December)	By 15 January

Reforecasts give an accurate picture of our income prospects as well as our spending. The Finance & Admin Officer reviews income, deferred and accrued balances and cash; the CEO and Program Lead update projected income based on conversations with funders and our fundraising pipeline. Every budget includes a fair share of core costs (governance, finance, office and management), which should be recovered from restricted grants wherever funders allow.

12. Programme Sites and Field Offices

This section applies wherever staff hold cash or assets, or make payments, away from the head office.

Who	Responsible for
Site or field office lead	Following this manual; safeguarding assets; filing all records and sending them to the head office; requesting cash and managing site cash needs.
Head office (CEO and Finance & Admin Officer)	Payroll; reviewing site cash requests against budgets; procuring centrally where possible; visiting sites to check that policies are followed; inducting and training site staff.

- Sites submit a monthly cash request based on planned spending, and send their cash book, receipts and reconciliations to the head office by the 5th of each month.
- Where a site has a bank account with only one signatory (for example, a single-staff site), the Board must approve the arrangement and set a limit on the balance and on each payment.
- The head office reconciles site records with its own each month, and may carry out site audits at any time.

13. Use of Vehicles

This section applies if Lead Now Foundation owns, leases or regularly hires vehicles.

Policy

Vehicles are used only for Lead Now Foundation's work, never for personal use. Every trip is approved in advance by the traveller's line manager.

- Every vehicle has a log book, completed for each trip with: date; time; driver; purpose; starting and closing odometer readings; and the signatures of the driver and passenger. Passengers sign only after the details are fully recorded.
- A nominated staff member reviews the log books monthly and reports to the CEO on whether vehicles are insured and roadworthy, and any sign of inappropriate use.
- Drivers must hold a valid licence, and vehicles must have valid insurance, registration and pollution certificates.
- Staff who do not follow this policy will face disciplinary action.

14. Year End and Annual Compliance

Our financial year ends on **31 March**. The following steps close the accounts and prepare for the statutory audit.

14.1 Before 31 March

- **Appoint or confirm the auditor** and agree the audit timetable early, aiming to complete fieldwork by the end of June.
- **Count all assets** at every location and reconcile the register to Financial Force.
- **Review insurance claims** made during the year, and make sure they are paid and correctly accounted for.
- **Request the auditor's document list**, so audit preparations do not disrupt day-to-day work in the new year.

14.2 After 31 March

- **Cash counts** at every location as at 31 March.
- **Bank reconciliations** for every account as at 31 March, signed off.
- **Settle all floats** and outstanding advances.
- **Post all income**, including deferred and accrued income, and all accruals and prepayments.
- **Post depreciation** and release deferred capital funds to match it.
- **Prepare draft financial statements** for the CEO's review, before the audit starts.
- **Prepare the audit file** using the checklist in Section 15.3.

14.3 Annual compliance calendar

The Finance & Admin Officer maintains a compliance calendar and confirms the dates with our Chartered Accountant at the start of each year. The main deadlines are currently:

When	What	Owner
Monthly, by the 7th	Deposit TDS	Finance & Admin Officer
Quarterly	File TDS statements	Finance & Admin Officer
By 31 May	File the annual statement of donations and issue donor certificates	Finance & Admin Officer
By 30 September	Annual General Meeting, with audited financial statements approved by the Board	CEO
By 30 September	Income-tax audit report for a registered non-profit	Chartered Accountant / auditor

When	What	Owner
By 31 October	Annual income-tax return	Finance & Admin Officer with Chartered Accountant
Within 30 days of the AGM	File financial statements with the Registrar of Companies	CEO
Within 60 days of the AGM	File the annual return with the Registrar of Companies	CEO
As agreed with each funder	Utilisation certificates and financial reports (including for CSR funds)	Program Lead with Finance & Admin Officer
At least 6 months before expiry	Renew registered non-profit status and donor tax-deduction approval	CEO with Chartered Accountant

15. Audits

15.1 Statutory audit

> **Policy**
>
> Lead Now Foundation's accounts are audited every year by an independent firm of Chartered Accountants appointed in line with the Companies Act, 2013. The auditor must be independent of the Chartered Accountant who advises us on tax and compliance.

As a minimum, the auditor will:

- Confirm whether proper books of account have been kept.
- Report whether the financial statements agree with the books and give a true and fair view, in line with the applicable Accounting Standards.
- Confirm and reconcile our bank balances.
- Test, on a sample basis, whether purchases offer value for money and that goods bought exist.
- Carry out the audit and report required under income-tax law for a registered non-profit.
- Issue a management letter with observations and recommendations.

15.2 Preparing for and managing the audit

The Finance & Admin Officer is the lead contact for the audit, and will:

- Check that recommendations from the previous year's management letter, and any donor audits, have been acted on.
- Agree dates, timetable and fee with the auditor, and request the list of records needed.
- Make sure year-end processes are complete and records are up to date and properly filed.
- Channel all auditor requests through one point, make staff available to answer queries, and check in with the auditor at least weekly.
- Arrange a closing meeting with the auditor to discuss findings before the written report is issued, and share draft findings with the CEO promptly.

The draft audited financial statements are reviewed by the CEO and approved by the Board before they are signed. Donor or CSR audits follow the same principles, under the terms of each agreement.

15.3 Audit evidence checklist

Group of records	Items
Primary records	Bank book and petty cash book up to date at year end; all vouchers and invoices; receipt book for money received; bank statements and cheque books; payroll records; general ledger.

Group of records	Items
Summaries and reconciliations	Trial balance; bank and cash reconciliations at year end; stock records; annual budget and reforecasts.
Schedules	Creditors (money we owe); debtors (money owed to us); grants due; grants received in advance; fixed asset register; vehicle log books; all donor reports, narrative and financial.
Compliance records	TDS deposits and statements; statement of donations and donor certificates; registration certificates (company, non-profit status, donor tax-deduction approval, CSR-1); previous filings.
Other information	Memorandum and Articles of Association; list of directors and staff; minutes of Board and general meetings; register of interests and related-party transactions; funding agreements and their audit requirements; contracts (rent, services, consultants).

16. Storage of Financial Records

Policy

Books of account and supporting documents are kept for at least **eight financial years**, as required by the Companies Act, 2013 — longer if a funder, a tax assessment or a legal matter requires it.

- The Finance & Admin Officer makes sure all financial records are backed up and stored securely.
- Digital records are stored in Lead Now Foundation's shared drive, not on personal computers, with access limited to those who need it.
- Paper records are kept in locked storage. Where originals are scanned, the originals are kept for the full retention period unless our Chartered Accountant advises otherwise.
- Records older than the retention period, and no longer needed, are destroyed securely — shredded or permanently deleted — with the CEO's approval and a record of what was destroyed.
- Personal data in financial records (for example, staff and donor details) is handled in line with the Digital Personal Data Protection Act, 2023.

Approval

This Finance Policy and Procedures Manual was approved by the Board of Directors of Lead Now Foundation and comes into effect on the date below. It will be reviewed annually before the start of each financial year.

_____

Chair, Board of Directors

Name: _____ Date: _____

_____

Chief Executive Officer

Name: _____ Date: _____

Building Leaders. Transforming Communities.